



CONFIDENTIAL
Do not reproduce or distribute

ENCAP INVESTMENTS L.P.
Memorandum

To: EnCap Investment Staff
From: Brooks Despot, Bryan Stahl, Connor Mannon, and Blake Provost
Date: January 23, 2024
Re: **Pegasus III – Initial \$195.4 Million Fund XII Commitment & EnCap Minerals / Pegasus II Update**

The purpose of this memo is to provide an update on Pegasus Resources Holdings I (“Pegasus I”), EnCap Minerals, LLC (“EnCap Minerals”), and Pegasus Resources Holdings II (“Pegasus II”) and to seek approval for a **\$200.0 million total equity commitment (\$195.4 million Fund XII and \$4.6 million Management) to Pegasus Resources Holdings III** (“Pegasus III” or the “Company”) to continue supporting the team’s core Permian mineral aggregation strategy. All above referenced entities are managed by George Young (CEO), Will Rodgers (President), and Lynn Frank (CFO) (“Management”) and based in Fort Worth.

Executive Summary

- **Pegasus I**, was formed in November 2017 and ultimately deployed \$568.0 million of equity (\$550.0 million Fund XI and \$18.0 million Management) to capture ~46,000 net royalty acres (“NRAs”) in the core of the Permian Basin. EnCap made the difficult but prudent decision to consolidate the assets of Pegasus I, Fortis I-II-III, and Santa Elena I-IV-V to form **EnCap Minerals** in June 2021 under the management of the Pegasus team. EnCap Minerals’ ownership is shared amongst Fund IX (9.8%), Fund X (52.5%), and Fund XI (37.7%) with Pegasus I representing 34.7% of the consolidated entity. EnCap Minerals’ assets include ~125,000 NRAs in the core of the Permian Basin, and the company has benefitted from significant development activity given the high-quality nature of the portfolio. Since inception, EnCap Minerals has realized 40-50% of all core Permian rig activity on its minerals and achieved over 60% production growth (currently ~30 Mboe/d). This activity has translated into ~\$1.2 billion of total distributions since June 2021. The portfolio is approximately 30-40% developed based on current estimates, and we anticipate continued growth with current and forecasted activity levels. In 2023, EnCap Minerals generated ~\$500 million in cash flow and should generate a similar amount in 2024 at current prices. Over the next five years (2024-2028), Management projects ~\$3.0 billion in total cash flow (\$75/\$3.50 flat deck). At 9/30/23, EnCap Minerals was marked at ~\$3.3 billion in remaining asset value, which is equivalent to 6.4x 2024E cash flow, a meaningful discount to public comparables that trade around 8.0x today. **The investment in Pegasus I translates to a 0.7x realized ROI and 2.4x total ROI / 21% IRR net to Fund XI using the 9/30/23 EnCap Minerals valuation.** Overall, we believe EnCap Minerals represents a world-class mineral portfolio that has the potential to exceed current book value over time. Please see **Exhibit A** for more detail on EnCap Minerals.
- **Pegasus II** was formed in June 2021 with a \$300.0 million equity commitment (\$297.3 million Fund XI and \$2.7 million Management), and as of year-end 2023, the company had deployed \$217.5 million of equity (\$215.5 million Fund XI) to capture ~13,700 NRA in the Permian Basin (\$15,100/NRA) and a small portfolio of ~2,600 NRA of opportunistic non-Permian assets (\$4,400/NRA). Approximately 75% of the Permian capital invested is centered in the Delaware (heavily weighted to Eddy and Lea Counties, New Mexico). The company’s assets are less mature (~25% developed based on current estimates) than EnCap Minerals’ portfolio and are expected to achieve continued growth through industry activity. The top operators for Pegasus II (on an NRA basis) include ConocoPhillips (18%), Permian Resources (11%), Mewbourne (10%), Oxy (10%), and Marathon (6%). For 2022 and 2023, Pegasus II cash flowed \$13 and \$20 million, respectively, which has been reinvested in acquisitions to date. Management forecasts ~\$35 million of cash flow in 2024 that will largely translate into distributions upon finalizing the proposed commitment to Pegasus III. Over the next five years (2024-2028), Management projects ~\$250 million in total cash flow (\$75/\$3.50 flat deck). **At 9/30/23, Pegasus II was marked at ~\$312 million in minerals asset value, which is equivalent to a 1.6x ROI / 39% IRR net to Fund XI, and we believe this investment is on track to achieve target returns.** Please see **Exhibit B** for more detail on Pegasus II.
- **Now is the appropriate time to start Pegasus III** given capital needs of existing Fund XI operating companies and the ability to generate meaningful distributions for Fund XI from Pegasus II’s maturing minerals portfolio. Pegasus III represents a compelling opportunity for Fund XII to gain exposure to a proven Permian minerals aggregator and management team.

Pegasus III Strategy & Opportunity Set

Pegasus III's strategy, similar to that deployed in both Pegasus I and Pegasus II, will be to selectively acquire NRAs in top-tier economic areas that have a high probability of being actively and densely developed within underwriting standards that achieve target returns. Pegasus utilizes a data driven approach when analyzing potential acquisitions with a keen focus on (i) technical parameters, (ii) development timing, and (iii) land configuration/lease details. Every acquisition is reviewed by the EnCap deal team and technical team to ensure high standards of underwriting.

- **Technical Parameters:** Pegasus' in-house technical team analyzes technical parameters for every subject DSU based on operator development tendencies, offset well performance, parent/child impacts, and other hard data. This analysis drives the underwriting for PDP, type curves, well spacing and inventory, and development timing.
- **Development Timing:** Underwriting for existing DUCs and permits typically includes six and fourteen-month delays, respectively, based on significant empirical data from EnCap Minerals and Pegasus II. Of note, Pegasus II has achieved over 98% DUC conversion and 85% permit conversion within these time frames, which helps underpin and inform go-forward underwriting. For most acquisitions, the undeveloped wedge is typically delayed twelve to 18 months before first spud, and the upside locations are then ratably developed over the course of five to nine years after the first spud date. Development timing assumptions are modeled on a DSU-by-DSU basis depending on operator tendencies, on-the-ground intel, and acreage footprints for respective operators.
- **Land Configuration/Lease Details:** Management reviews individual leasehold terms of targeted acquisitions including Pugh clauses, continuous drilling provisions, permitted midstream deductions, pooling provisions, and other lease terms, which can materially affect the underlying value of any given mineral position and inform underwriting assumptions. Importantly, the Pegasus team performs necessary title work and due diligence to confirm clear title and to ensure that ORRIs are not at risk of expiring based on the status of the underlying working interest.

Regarding the opportunity set, Pegasus I was built with a combination of both large and small acquisitions encompassing almost 350 distinct transactions. The average transaction size for Pegasus I was less than \$2 million, while Pegasus I's top five acquisitions averaged ~\$56 million in size. For Pegasus II, the company has closed around 140 transactions with an average deal size of ~\$1.5 million, while Pegasus II's top five acquisitions averaged ~\$19 million. We believe this is reflective of the current Permian minerals market, and we expect that Pegasus III's deal size and investment cadence will look similar to that of Pegasus II. Nonetheless, Management will continue to evaluate larger and smaller opportunities alike seeking optimal risk-adjusted returns. Over the last twelve months, the team has reviewed over \$2 billion of internally sourced deals across >180,000 net acres in addition to over \$2 billion in marketed deals. Deal flow remains constructive with over \$65 million in acquisitions closed in 2023. It is worth noting that while Pegasus II reviewed and closed on a limited amount of opportunities outside of the Permian (primarily in 2022), we expect that Pegasus III will allocate substantially all of its time and capital to the Permian Basin.

Pegasus III Structure

The proposed terms depicted below are substantially similar to the terms in Pegasus II. **We recommend capitalizing Pegasus III with a \$200.0 million total equity commitment including \$195.4 million from Fund XII and \$4.6 million from Management.** While this is a smaller commitment than prior Pegasus entities, we believe this commitment size is appropriate for current deal flow, and we would recommend considering a commitment increase upon further execution of the Company's strategy when appropriate. Furthermore, in adding a third entity under the team's management, we envision initially allocating overhead 54% to EnCap Minerals, 23% to Pegasus II, and 23% to Pegasus III. This allocation methodology is based on expected time served across the three entities and will be reviewed by the Board on an ongoing basis, which is consistent with other cross-funded managed entities in the portfolio. Finally, EnCap will control the Board and all material decisions at Pegasus III.

Pegasus III Capitalization & Waterfall Structure									
Member	Commitment	%							
Fund XII	\$ 195.4	97.7%							
Management	4.6	2.3%							
Total	\$ 200.0	100.0%							

Exhibit A: EnCap Minerals Overview (34.7% owned by Pegasus I)

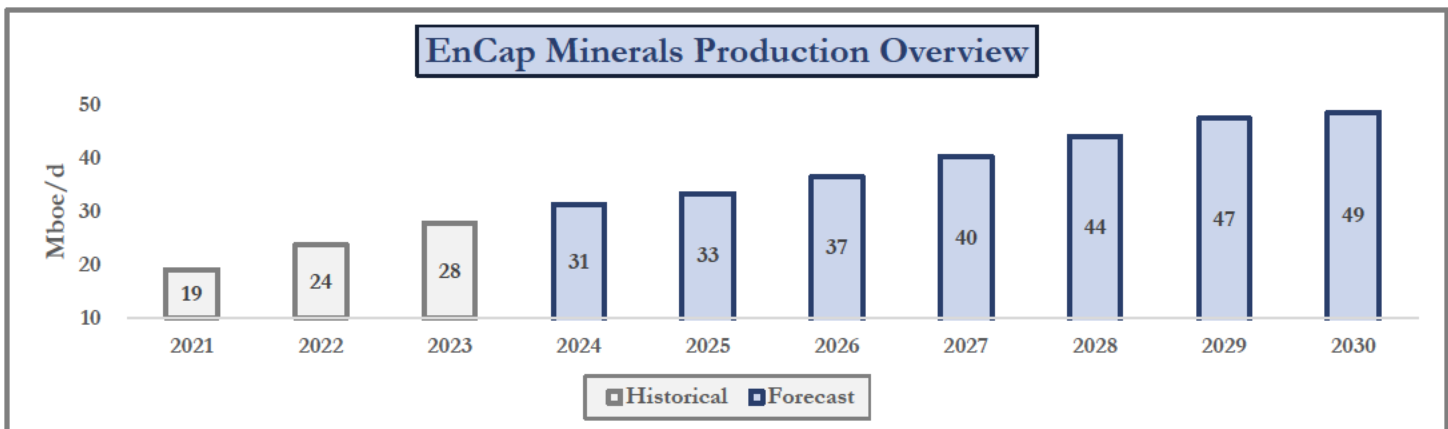
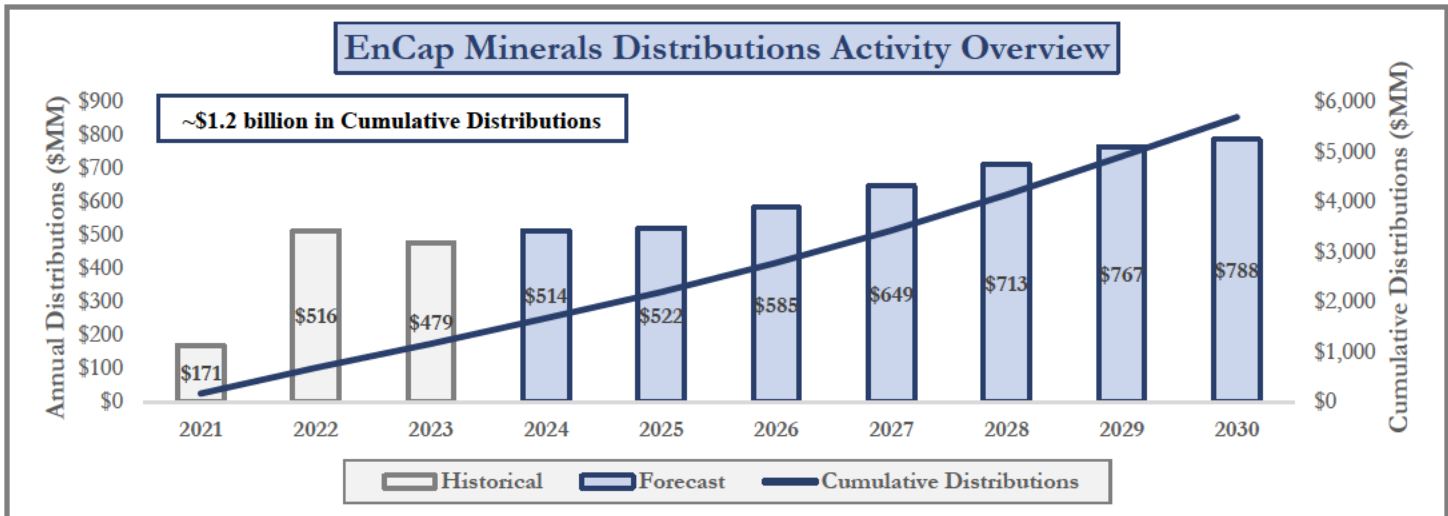
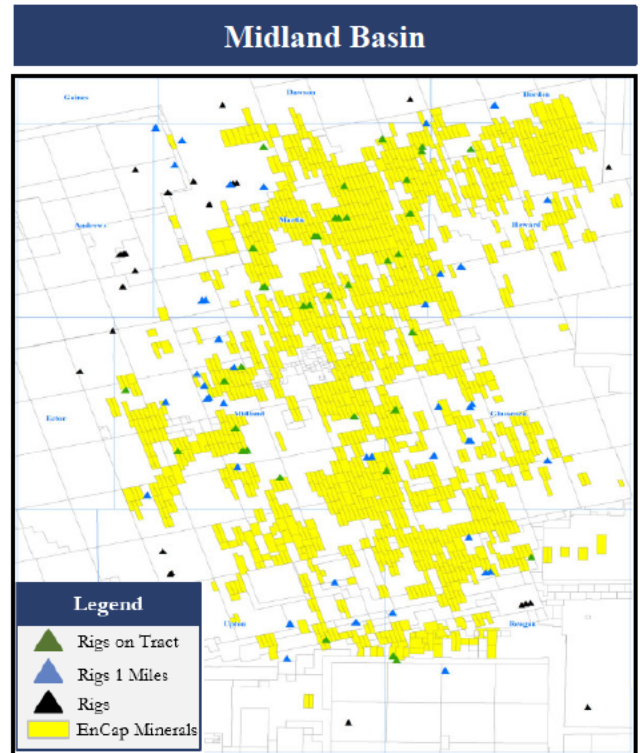
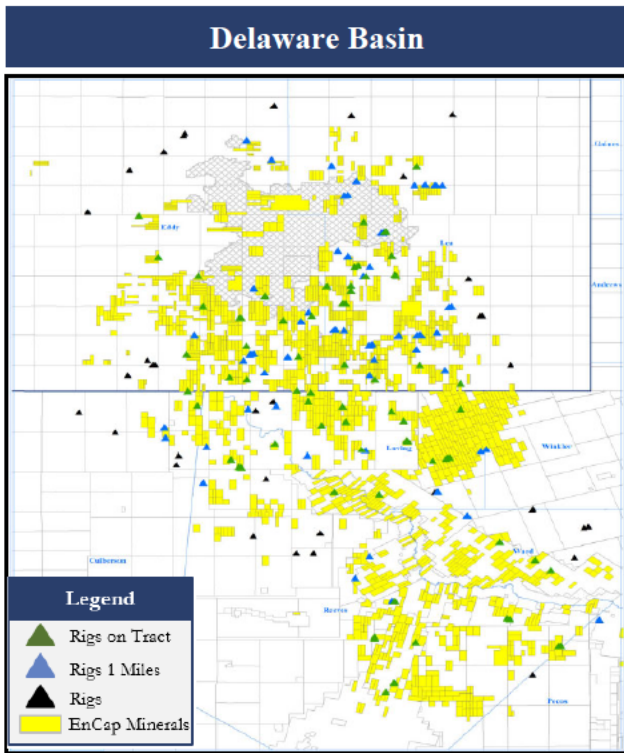
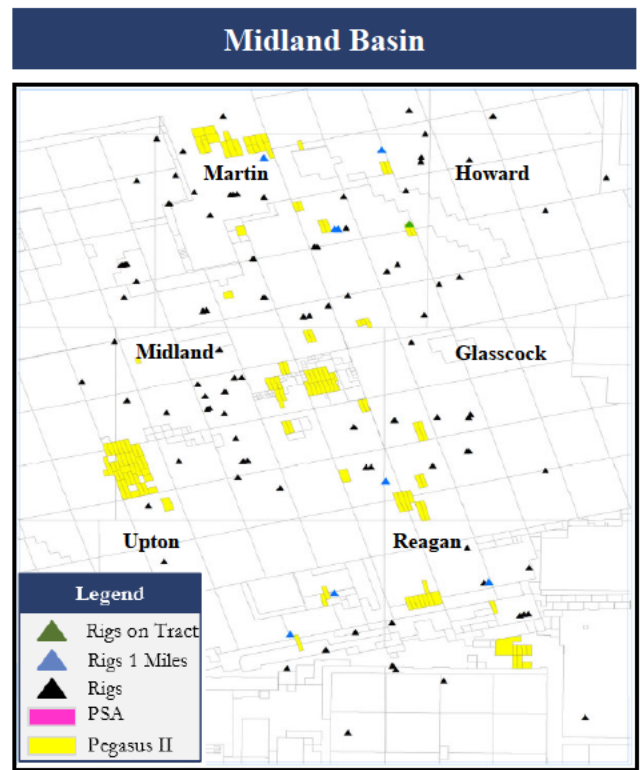
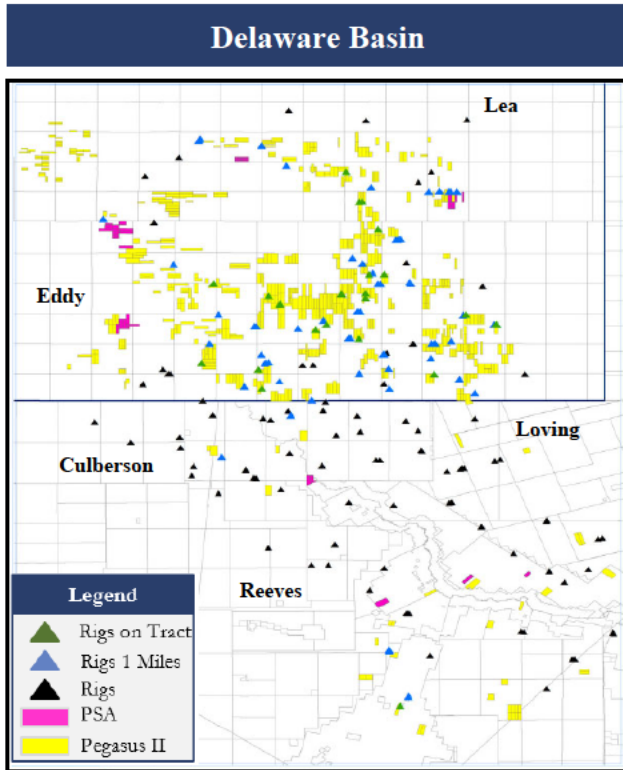


Exhibit B: Pegasus II Overview



Sources and Uses (\$MM)			
Sources of Cash		Uses of Cash	
EnCap Fund XI	\$216	Minerals Acquisitions	\$223
Pegasus II Management	2	G&A and Capitalized Items	15
Cash Flow	32	Working Capital	11
Total	\$250	Total	\$250

Closed Acquisitions to Date					
Basin	Deal Count	Deal Value (\$MM)	NRA	\$ / NRA	
Delaware	73	\$ 156	10,879	\$ 14,325	
Midland	30	50	2,782	17,997	
Permian Total	103	\$ 206	13,661	\$ 15,073	
Other ⁽¹⁾	31	11	2,552	4,397	
Total	134	\$ 217	16,212	\$ 13,393	

(1) Represents deals in the Yeso, Haynesville, and Eagle Ford

(2) NRA normalized on a 1/8th basis

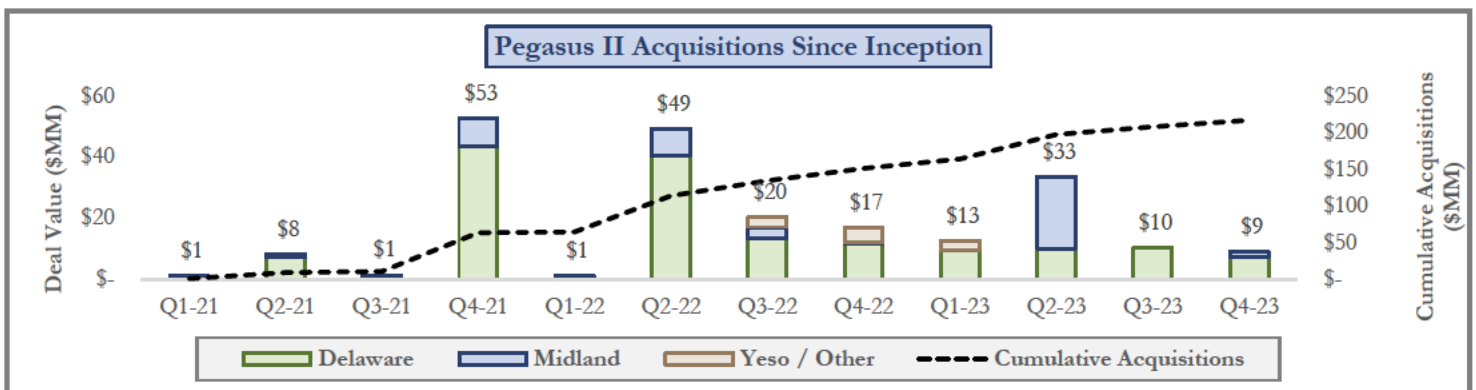


Exhibit B: Pegasus II Overview (Cont'd)

